

CRNC

CRNC N/A

Hold	\$10.91 ▲ 1.87%	12M Price Target \$12.50	52-Week Range \$5.85 – \$13.74	Market Cap \$493M
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CRNC: Voice AI Underdog Riding EV Partnership Wave

WHAT HAPPENED

- Quiet drift higher (+1.9%) on light volume (168K vs. ~700K recent average) — this is more of a "tech tape lifted everything" move than CRNC-specific news. The Tech sector ETF was up 2.44%, so CRNC actually LAGGED tech today despite being an AI name. That's a subtle tell — the market isn't rewarding it like the higher-quality AI stories.
- The overhang from the Q2 earnings miss (May 8) is still there. No new filings, no insider buying, no unusual options — meaning nobody with an information edge is stepping up aggressively either way.

WHY IT MATTERS

Nothing major happened overnight — the thesis is intact. Keep an eye on price action and how the sector is moving for a potential entry point.

IS IT EXPENSIVE?

See key data table.

WHAT COULD GO WRONG

- US-China policy risk: if Washington restricts American AI software in Chinese vehicles, the BYD deal and future China wins evaporate — that's a growth story killer.
- Cash burn and dilution risk: they're losing money and eventually may need to raise capital, which means printing new shares and shrinking your ownership stake.
- The non-obvious one: automakers are increasingly building their own in-house voice AI (Mercedes with its own LLM, Tesla, BMW). CRNC could get disintermediated not by a competitor, but by their own customers deciding to DIY.

IN THE NEWS

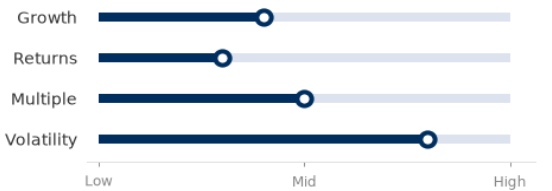
- Why SoundHound's Pipeline Growth Matters for the SOUN Stock** Zacks · 2026-05-22 14:25
- Is SoundHound Stock Still a Strong AI Play After the Q1 Selloff?** Zacks · 2026-05-13 15:10
- Cerence (CRNC) Q2 Earnings Miss Estimates** Zacks · 2026-05-08 02:25
- Cerence (CRNC) Q2 2026 Earnings Transcript** Motley Fool · 2026-05-07 22:38
- Cerence (CRNC) Expands BYD Partnership for LLM-Powered In-Car AI** Insider Monkey · 2026-05-07 14:59

WHAT OPTIONS TRADERS ARE DOING

Key Data

Price (USD)	\$10.91
12M Price Target	\$12.50
Upside / (Downside)	+14.6%
Market Cap	\$493M
FY2026E Revenue	\$235M
FY2027E Revenue	\$250M
FY2026E EPS	(\$0.85)
FY2027E EPS	(\$0.40)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$13.00	\$11.00	\$9.50
6 Months	\$15.50	\$12.00	\$8.00
1 Year	\$18.00	\$12.50	\$7.00
2 Years	\$24.00	\$15.00	\$6.00
5 Years	\$35.00	\$20.00	\$4.00
10 Years	\$55.00	\$25.00	\$3.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Technology (+2.44%) leading again — money keeps chasing AI infrastructure and megacap tech, with Industrials also firm as reshoring/onshoring momentum builds.

COOLING OFF: Energy (-0.02% today, -1.17% on the week) is losing bids as oil softens and the market shrugs off geopolitical premium.

ROTATION WATCH: Money is rotating INTO high-quality AI and OUT of energy — but the rotation is skipping small-cap AI-adjacent names like CRNC. That's a signal that risk appetite is still selective, not broad.

RELATED PLAY: SoundHound (SOUN) is the direct comp — if voice AI as a category catches a bid, both move together, but SOUN gets the AI premium multiple that CRNC doesn't.

WHO'S WINNING IN THIS SPACE?

- SOUN (SoundHound AI): Same voice-AI space but positioned as pure-play AI, gets a much richer multiple, benefiting from restaurant/enterprise expansion narrative.
- NVDA (Nvidia): The tape-setter — when NVDA runs, all AI adjacents catch some spillover interest.

CRNC CONTEXT: CRNC is LAGGING its peer group meaningfully — trading at a fraction of SOUN's revenue multiple. That tells you the market wants proof of turnaround before rewarding it. If they deliver one good quarter, the gap could close fast — that's the asymmetric setup here.

WHAT I'D DO WITH THIS STOCK

5/10 Conviction Score

CONVICTION: 5/10 — cautiously interested, not pounding the table. It's a broken-turnaround story with real optionality but real execution risk.

POSITION SIZE: Keep this small — 1-2% of portfolio. The volatility is high and the outcome is somewhat binary (turnaround works, or it doesn't).

ENTRY POINTS: I'd wait for a pullback to \$9-10 rather than chase here. On macro fear days this trades down hard because it's a small cap — that's your entry.

TIME HORIZON: 12-18 months. The catalyst is either the next earnings print showing revenue stabilization, or a marquee new OEM contract announcement.

WHEN TO BAIL: If they lose a top-3 automaker customer, if revenue declines accelerate past 15% YoY, or if they announce a dilutive capital raise — I'm out.

HEDGING: Simplest hedge is just keeping the position small. If you want to get fancy, pair it with a long in a profitable AI leader so if the AI trade broadly rolls over, you're not fully exposed to the small-cap version of the story.